

How Zepto Can Win Tier-2 India

Reaching deeper, delivering faster – The Tier 2 opportunity awaits

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Product Lens — What's the Problem?

Tier-2 User Needs

Unlike Tier-1 cities, users in Tier-2 Indian cities prioritize value over lightning-fast delivery. Their lifestyles often entail less urgency for immediate deliveries, making Zepto's 10-minute USP less compelling. Building trust is paramount, especially regarding digital payments.

Trust Deficit in Digital Payments

Many Tier-2 users exhibit low trust in digital payment methods, preferring traditional cash transactions. This presents a significant hurdle for online platforms that primarily push digital payment options.

Zepto's USP Misfire

Zepto's core proposition of 10-minute delivery, while revolutionary in Tier-1, does not fully resonate or translate to the Tier-2 market. A different value proposition is needed to capture this segment.

Product Hypothesis

Reliability and Affordability

Our central hypothesis is that Tier-2 users seek reliable and affordable delivery services, not necessarily ultra-fast 10-minute speed. This shift in focus is critical for Zepto's success in this market.

Focus on Trust and Simplicity

Building trust, ensuring simplicity in the user experience, and catering to local needs will be key differentiators. This means adapting the product to local nuances and building features that foster familiarity and confidence.

Repeatability Over Novelty

The goal is to encourage repeat usage by providing a consistent and valuable service, rather than solely relying on the novelty of speed. Long-term customer relationships will drive sustainable growth.

Key Features to Build



Hyperlocal Essentials Cart

A curated cart focused on daily necessities prevalent in Tier-2 households, like specific regional vegetables and spices. This caters to local tastes and simplifies the shopping process.



Cash on Delivery + UPI Nudges

Make Cash on Delivery (COD) the default payment option to build trust, while subtly nudging users towards UPI with attractive rewards and incentives. This bridges the gap to digital adoption.



Voice Search in Vernacular Languages

Implement voice search functionality in various Indian vernacular languages. This significantly lowers the barrier to entry for users less comfortable with typing in English or local scripts.



Localized Catalogs with Kirana Tie-ups

Integrate local Kirana stores into the Zepto ecosystem. This allows for hyper-localized catalogs, leveraging existing community trust and providing a wider range of familiar products.

UX Personalization Ideas



"Weekly Combo Packs"

Introduce pre-bundled "Weekly Combo Packs" featuring common household staples like "Aloo + Pyaaz + Dhaniya" (Potato + Onion + Coriander). This simplifies ordering and offers perceived value.



Easy Reorder Tab

A prominent and intuitive "Easy Reorder" tab that allows users to quickly repurchase their frequently bought items. This enhances convenience and encourages repeat purchases.



COD as Default, UPI Rewards

Set Cash on Delivery as the default payment option to cater to current preferences, while offering attractive rewards and discounts for users who opt for UPI payments, gradually shifting behavior.



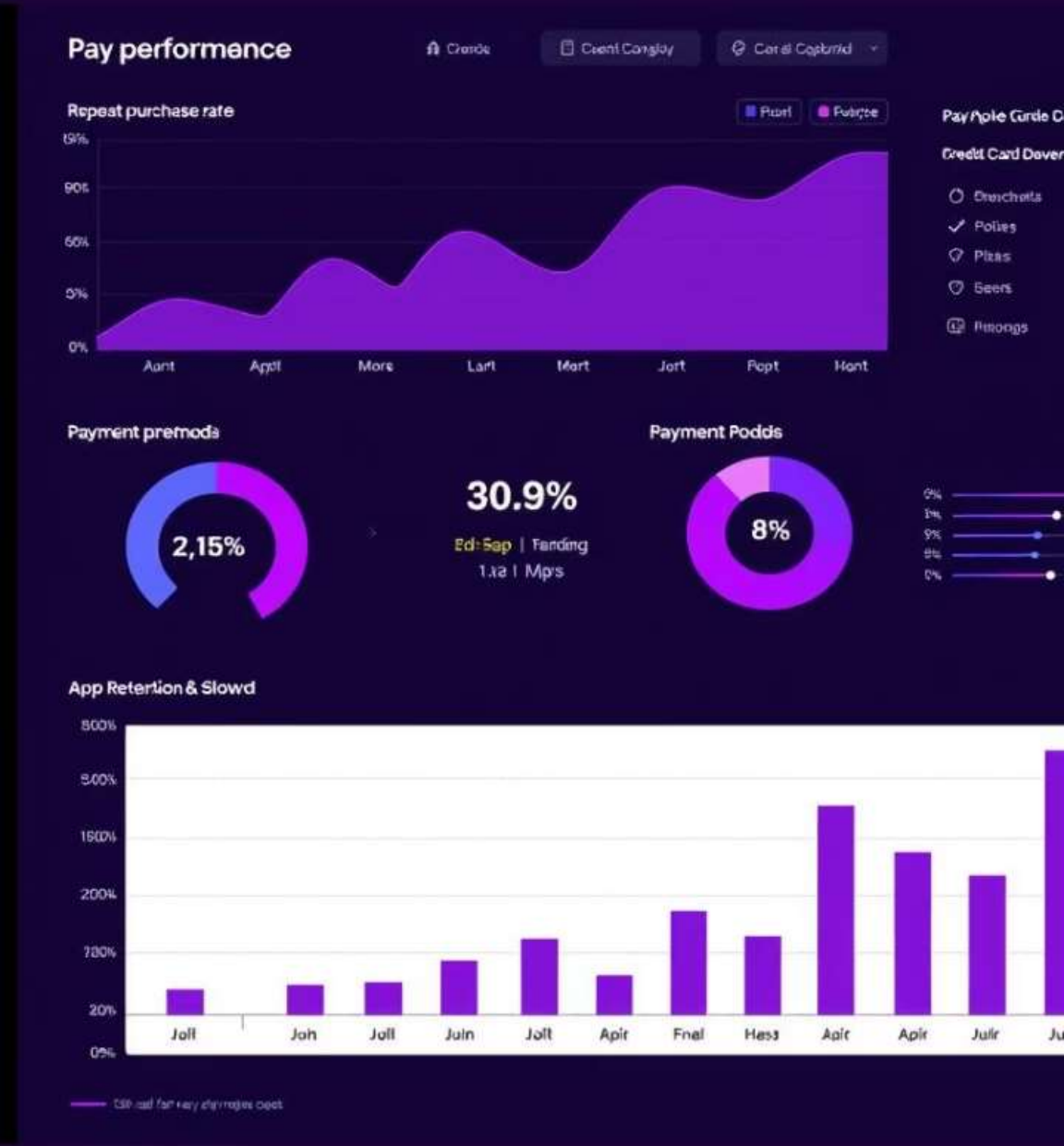
Lightweight UI for Low-end Phones

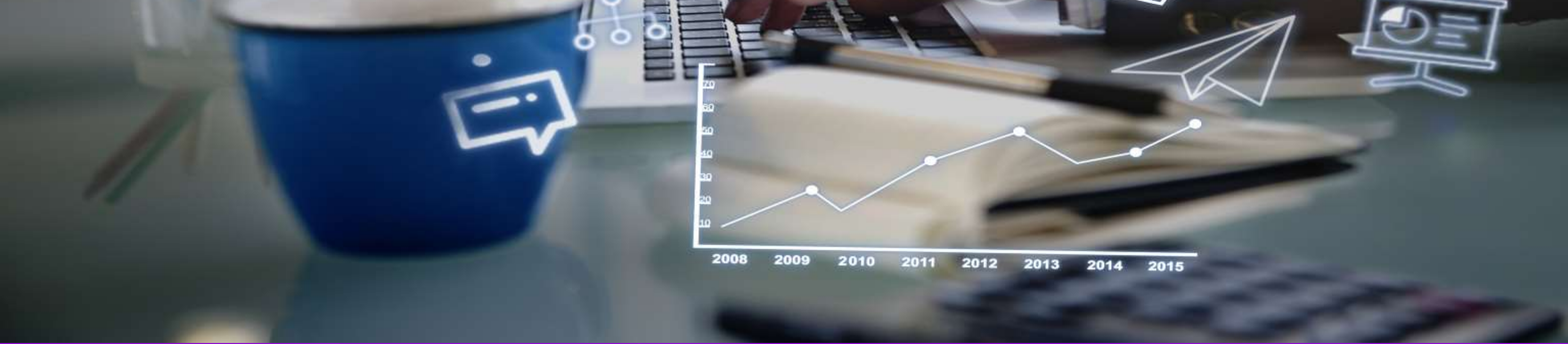
Develop a highly optimized and lightweight User Interface (UI) that performs seamlessly on older, low-end smartphones common in Tier-2 regions. This ensures accessibility and a smooth user experience for all.

Product KPIs to Track

Repeat rate within 30 days	Measures customer loyalty and satisfaction with the new product features and service.
COD vs UPI ratio	Tracks the shift in payment preferences, indicating the success of UPI adoption initiatives.
App uninstall rate	Monitors user retention and identifies potential issues leading to churn after initial download.
Avg. basket size and reorder frequency	Provides insights into purchasing behavior and the effectiveness of combo packs and reorder features.

Monitoring these KPIs will be crucial to understand the impact of our product strategy and make data-driven adjustments for continuous improvement.





Marketing Lens

Marketing Lens — The Challenge

Low Trust, High Value Seekers

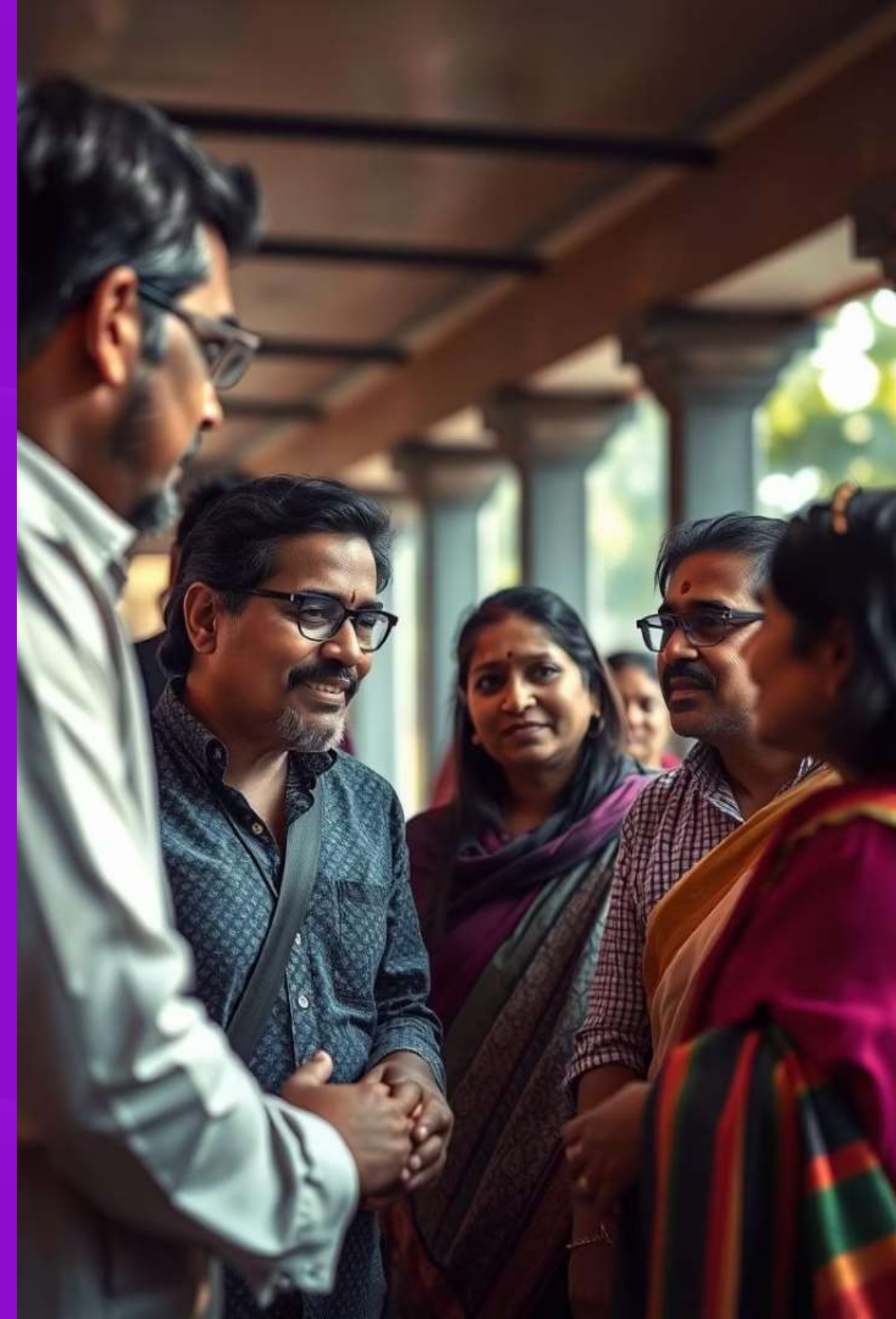
Tier-2 users are inherently skeptical of new digital services and seek genuine value for their money. Marketing efforts must address this trust deficit directly.

Influencer Over Performance Ads

Traditional performance marketing (e.g., banner ads) has limited impact. Personal endorsements from local influencers or community leaders resonate more strongly than generic advertisements.

Language and Culture are Key

Marketing messages must be deeply embedded in local language and cultural nuances. A generic approach will fail to connect with the target audience and build the necessary rapport.



GTM Strategy

Vernacular Launch Campaign

Initiate a launch campaign heavily featuring local YouTubers and content creators who command trust and influence within their respective Tier-2 communities. Their endorsement will be powerful.



Jingle-based Radio + WhatsApp Broadcast

Leverage local radio stations with catchy, memorable jingles in vernacular languages. Supplement this with targeted WhatsApp broadcast messages, a highly popular communication channel in India.

First Order Fest with ₹49 Deals

Drive initial adoption through a "First Order Fest" offering compelling deals, such as a ₹49 introductory price point. This provides a low-risk incentive for users to try the service.

MULTI-CANNEL MARKETING

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Channel Strategy

60% Offline Presence

Dedicate a significant portion of the budget to offline channels. This includes prominent auto-rickshaw banners, partnerships with local Kirana stores for coupon distribution, and community events.

30% Organic Growth

Focus on organic channels, including collaborations with local influencers who genuinely resonate with the audience, and a strong referral program that incentivizes word-of-mouth marketing.

10% Digital Ads

A smaller portion for digital advertising, specifically targeting platforms popular in Tier-2 regions like Facebook Lite and ShareChat, with culturally relevant creatives and messaging.

Brand Positioning

Our brand positioning will be encapsulated by the tagline: "Ghar ka saamaan, bina dukaan" (Home essentials, without the shop).



Marketing KPIs



Startup Lens

Zepto's Expansion Strategy: A Deep Dive into Tier-2 Cities



Navigating the Challenges of Expansion

Can we make money on smaller baskets?

The typical order value in Tier-2 cities may be lower than in metros. We need to analyze if the economics of smaller basket sizes can still yield a profitable margin, considering operational costs like delivery and packaging.

Is 10-min feasible in low-density cities?

Achieving 10-minute delivery times in areas with lower population density poses significant logistical challenges. We must assess if this speed guarantee is sustainable and desirable for the target market.

Can we expand without burning VC cash?

Aggressive expansion often requires substantial capital. Our strategy must focus on organic, sustainable growth to avoid heavy reliance on venture capital, ensuring long-term viability.



Shifting Gears: A Revised Business Strategy



Shift to 30-min Delivery

Moving from a 10-minute to a 30-minute delivery promise aligns better with the logistical realities and customer expectations in Tier-2 cities, allowing for more efficient route planning and reduced pressure on delivery personnel.



Kirana Stores as Micro-Warehouses

Leveraging the existing network of Kirana stores (local convenience stores) as micro-warehouses significantly reduces infrastructure costs and inventory management complexities, while also supporting local businesses.

Focus on Basket Value, Not Speed

Building a Scalable Operational Model

Hybrid Dark Store + Local Partners

Combine the efficiency of dark stores for high-demand items with the flexibility of local Kirana partners for broader inventory and deeper reach into neighborhoods.



Crowdsourced Delivery Model

Implement a crowdsourced delivery fleet, similar to ride-sharing apps, to manage fluctuating demand efficiently and reduce fixed labor costs.

Local Vendor Onboarding via Offline Sales Reps

Deploy dedicated offline sales representatives to personally onboard local Kirana stores and vendors, building trust and ensuring seamless integration into the Zepto ecosystem.

Monetization Strategies & Strategic Partnerships

Tiered Delivery Pricing

Implement a tiered pricing structure: ₹0 for deliveries within 2-5km, and an escalating charge (₹10+) for distances beyond that. This encourages local orders while still serving wider areas.

FMCG Partnerships for Promo Bundles

Collaborate with Fast-Moving Consumer Goods (FMCG) brands to offer exclusive promotional bundles. This drives higher basket values and provides additional revenue streams through brand collaborations.

Co-branded Kirana Packs

Develop co-branded packaging with Kirana stores for popular local products. This enhances brand visibility for both Zepto and the local store, fostering community integration.

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Key Performance Indicators for Success

CM/order

Contribution Margin per Order

Measures the profitability of each individual order after deducting variable costs. This is crucial for assessing overall business health.

FC

Fulfillment Cost

Tracks the total cost associated with processing and delivering an order, including warehouse, packaging, and delivery expenses.

NPS

Partner NPS

Net Promoter Score for Kirana store partners, indicating their satisfaction and likelihood to recommend Zepto, reflecting the strength of our local relationships.

GMV vs CAC

Tier-2 GMV Growth vs. CAC Burn

Compares the growth in Gross Merchandise Value in Tier-2 cities against the Customer Acquisition Cost, ensuring sustainable growth without excessive spending.

Beyond Building: The PM's Strategic Role

"A PM isn't just a builder — they're a strategist, marketer, and hustler too."

This quote perfectly encapsulates the multifaceted role of a Product Manager, especially in dynamic environments like Zepto's expansion. It's not just about developing features; it's about understanding the market, devising growth strategies, effectively communicating value, and relentlessly driving the product forward with an entrepreneurial spirit.





Thank You!

Would you use Zepto in your Tier-2 city? What would convince you to place that first order?

That's a wrap on my case study!

If you read this far...you're officially my favorite kind of nerd

Let's keep building, branding, and brainstorming!

Follow me for more case studies with a twist.

Until next swipe... stay curious!